Free Trade In Agriculture

The push for “free trade” in agriculture first took hold in the 1980s. It was part of a package of policies and investments that moved food and agriculture systems away from government control (too often centralized and unresponsive) toward private ownership. Ironically, private ownership has led to an even more centralized and tightly controlled food system. Local communities have been left more disempowered than they were before, and, increasingly, developing country national governments have found themselves disempowered, too.

In 1996, world leaders met in Rome for the World Food Summit, organized by the UN’s Food and Agriculture Organization (FAO). During the summit, developed countries pushed to connect food security with global trade. In the final agreement, all countries agreed that trade plays an important role in ensuring food security. They also promised to support trade policies that help farmers and consumers use resources in a smart, sustainable way.

The World Food Summit declaration reflected the changes happening in the 1990s, a turning point for food, farming, and trade. Agriculture became part of global trade rules during the Uruguay Round of trade talks, which began in 1986. In 1994, agreed countries signed several agreements, including the Agreement on Agriculture and the one that created the World Trade Organization (WTO). The Agreement on Agriculture was the first global deal to set firm rules for trading farm products.

The Promise Of Free Trade.

The idea behind linking food security to free trade was this: Liberalize world agricultural markets by ending subsidies to inefficient producers, tear down tariff walls, and end the practice of holding government-controlled food stocks. World market supplies will then move to where need is greatest. And fair competition will be ensured. Thereby_____

1. Producers will be benefitted: If there is no tariff, new demand will create. world prices for agricultural commodities will rise, which will be good for the farmers who are profitable in the deregulated markets.

2. Consumers will be benefitted: consumers will have to pay less, benefiting from the efficiencies created by sharper competition. They can also consume higher qualityful products.

3. Comparative advantage will be applied: Environmental efficiencies are gained by concentrating production of particular crops in countries that have the greatest “comparative advantage." i.e. production will shifts to the most efficient producers country.

Then the question arise - what will happen to the inefficient producers? The answer was like that - Even farmers who couldn’t compete in the global market were expected to benefit eventually. The idea was that economic growth needed fewer people in farming, so those who lost farm jobs would move to cities or find other kinds of work in rural areas. That is, the country which have no comparative advantage on agriculture will shift to manufacturing sector. This is called "Wider Development Angle" according to WTO.

4. Private sector will expand: private companies are able to manage the business of getting food from where it is grown to where it is needed, cutting significant costs out of government budgets in those countries where the state used to play all or some of this role.

The Reality of Free Trade.

Things didn't go as planned. The Agreement on Agriculture (AoA) had major flaws. One big issue was the gap between what was promised and what actually happened.

1. Rich countries condition --- The rules didn't really stop rich countries from heavily supporting their farmers and agribusinesses. These subsidies still distort global markets. The rules also didn't significantly reduce tariffs on farm products. In fact, changing non-tariff barriers into tariffs sometimes led to very high new tariffs, like those on dairy products in some wealthy countries.

In the colonial period, industrialised countries were dependent on Africa for tea, coffee, wheat, nuts etc because this countries had no production of these crops. As an Importer, rich countries still have cheaper access to raw materials for processing industrialisation and continuation of industrialisation from colonial period.

2. Developing countries condition --- Another major issue was how poorly the agreement was implemented. Many developing countries didn't fully understand what they were signing up for.

A significant problem arose developing countries that relied on food import. Although, WTO made promise to help the poorest and food-importing developing countries if food costs rose too quickly. However, when food prices shot up in 1995 and 1996, even though food import bills rose by 40% for the poores -hese promises weren't kept.

Another letdown was that the agreement didn't do much for many developing countries' agricultural exports. They do not get new acess to new market. Likewise, colonial periods, they still supply raw materials toward rich countries.

There were some key exceptions, like sugar and cotton, where trade was heavily distorted by subsidies in the U.S. and EU, and where developing countries export large amounts. But these were exactly the products rich countries kept off-limits to liberalization. Instead, they opened up trade in crops where they were already competitive. So, from the viewpoint of developing countries, trade liberalization was backwards—they got little or no new access to sell their goods, and in some cases even lost special access they previously had.

3. Poorer countries condition — Cheap imports lowered local prices, hurt local farmers because they have to accept greater amount of import and reduced domestic food production—making these countries even more dependent on expensive food imports.

Another major problem with the AoA was what it left out—especially the issue of market power. The agreement didn't address the fact that a few giant companies dominate global (and many local) agricultural markets. In many cases, just 3 to 5 firms control 40% or more of the trade in a single crop. Some companies, like Cargill, are major players in many products—like salt, sugar, corn, wheat, soy, beef, cotton, and rice.

Free trade theory assumes open and competitive markets, but it ignores the impact of such concentrated corporate power. These companies are massive. For example, in 2007 Nestlé made $9.7 billion in profit—more than the GDP of the 65 poorest countries that year. Wal-Mart made $13.3 billion in profit in one year, more than the GDP of 88 countries.

Another major issue the AoA ignored was dumping, which is closely tied to corporate control. Dumping happens when products are sold on the global market for less than what it costs to produce them. The Institute for Agriculture and Trade Policy (IATP) studied this for over a decade, tracking production costs, local sale prices, and export prices for five key crops. They found big gaps between production costs and export prices. For example, in 2001, U.S. cotton was dumped at 57% below production cost. Over ten years, rice was dumped at an average of 20% below cost, corn at 25–30%, and wheat at 40%.

All of these information mention that - AOA fail to ensure fair competition. And works as an evidence that, free trade in agriculture was (perhaps) a bad idea.

Agreement On Agriculture (AOA): The Agreement on Agriculture (AoA), signed in 1994 as part of the World Trade Organization (WTO), introduced global rules for agricultural trade for the first time. Here are its main characteristics:

1. Market Access.

i) Countries had to reduce trade barriers like tariffs and quotas on agricultural imports.

ii) All non-tariff barriers were to be converted into tariffs (a process called tariffication), making trade rules more transparent.

2. Domestic Support.

i) Countries agreed to limit government subsidies that distort trade.

ii) These subsidies were categorized by a traffic light system:

Green Box: Allowed (minimal or no trade-distorting impact, e.g., research or environmental programs).

Amber Box: Limited (trade- distorting support like price guarantees).

Blue Box: Allowed under certain conditions (e.g., subsidies tied to limits production).

3. Export Subsidies.

Countries agreed to reduce or eliminate subsidies given to support exports of agricultural goods, which made products artificially cheap on the global market. Because, larger amount of subsidy will lead to lowering the prices and hence can increase the opportunity to create dumping. So, to reduce the occurrence of dumping, countries have to reduce export subsidy.

4. Special and Differential Treatment.

i) Developing countries were given more time and flexibility to implement changes.

ii) Least developed countries were mostly exempt from reduction commitments.